

Introduction to the current trading stock rules [19-001]

[19-001]

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Trading stock is property that a person who owns or carries on a business has for the purpose of selling or exchanging in the ordinary course of the business.

For any business, especially manufacturers, distributors or retailers, the method chosen to record and value trading stock on hand at year end has a major impact on the bottom-line profit ([19-002](#)).

Rules for the valuation of trading stock effectively require trading stock to be valued as at the end of each income year. The objective is to require the recognition, for income tax purposes, of the fluctuation in value for the income year of the trading stock maintained by a business. This is achieved by treating:

- # the value of trading stock at the end of the income year as income, and
- # the value of trading stock at the start of the following income year as an allowable deduction.

The trading stock value at the start of the following income year is the same as the closing value at the end of the prior year, that is, a common value applies.

This chapter looks at the role trading stock plays in calculating net income, the types of products making up trading stock and the methods that are available to value it.

Features of the current trading stock rules are:

- # the valuation of trading stock by persons other than low-turnover traders, either at cost or at market selling value (only if lower than cost)
- # the use of financial reporting standards to value stock at cost
- # replacement price and discounted selling price may be used to approximate cost if those methods are used by the taxpayer for financial reporting purposes
- # obsolescence is a factor in the market selling value calculation rather than being the subject of a separate set of rules
- # simpler trading stock rules for low-turnover traders, ie persons (including associates of the person) with turnover of less than \$3 million
- # an exemption from the trading stock rules for persons with a turnover of not more than \$1.3 million in an income year, and
- # the valuation of shares, options or other excepted financial arrangements is to be at cost only.

Subpart [EC](#) applies to value livestock unless it is held as trading stock in which case subpart [EB](#) will apply ([127-235](#)).

Law: IT07 subpart [EB](#)

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Trading stock and effect on net income [19-002]

[19-002]

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Before a taxpayer can calculate net income or net loss for their business for an income year, the amount of the cost of goods sold during the year must be determined. This is arrived at by using the following formula:

$$\text{opening stock} + \text{total purchases in the year} - \text{closing stock} = \text{cost of goods sold.}$$

For tax purposes, the cost of goods sold takes into account the trading stock held at the beginning of the year and the purchases made during the year, but it does not include the trading stock on hand at the end of the year. Year-end trading stock instead becomes part of the cost of goods sold in the following year (as opening stock). Only by using this formula can the person properly match the year's sales with the cost of those sales.

The trading stock rules reflect this approach. These rules apply to the trading stock of any person who owns or carries on a business.

The value of trading stock at the beginning of the year (opening value) is treated as a deduction for that income year. The value of the trading stock at the end of the income year (closing value) is income for the year. The difference between the 2 is taken into account in calculating the net income or net loss for that income year.

Example:

A company buys up old washing machines and refrigerators and renovates them for resale. For the 20X6 income year, it had opening stock of \$40,000 (as at 1 April 20X5) and closing stock of \$65,000 (as at 31 March 20X6). Its annual sales came to \$90,000 and it spent \$30,000 acquiring old units, \$35,000 on renovation and labour, and \$2,000 on new parts during the year. The amount to be taken into account when calculating the company's net income or net loss for that year is as follows:

	\$	\$
Sales		90,000
less cost of sales:		
opening stock	40,000	
purchases	30,000	
direct labour	35,000	
parts	<u>2,000</u>	
	107,000	
less closing stock	<u>(65,000)</u>	
		<u>42,000</u>
Amount to be included in net income for the year		<u>48,000</u>

The value of opening stock is the same as the closing stock value at the end of the previous income year. In the above example, the value of opening stock (or opening book value) in the 20X6–X7 income year would be \$65,000.

Closing stock will increase net income for the year and some taxpayers may be tempted to value closing stock at its lowest possible value. Because closing stock must be valued using one of the 4 prescribed methods, opportunity for such tax planning is limited (s [EB 4](#)).

Income from closing stock and deductions from opening stock are allocated to an income year under ss [BD 3](#) and [BD 4](#). Income is allocated to the income year it is derived, and deductions are allocated to the income year they are incurred.

Under s [EB 23](#) a person with turnover of less than \$1.3 million in the income year need not value trading stock at year-end if it can be reasonably estimated that the person has less than \$10,000 worth of trading stock.

Law: IT07 ss [BD 3](#), [BD 4](#), [CH 1](#), [DB 49](#), [EA 1](#), [EB 1](#), [EB 3](#), [EB 4](#), [EB 23](#)

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Trading stock defined [19-005]

[19-005]

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There are several different definitions of “trading stock”, each of which applies according to the particular part or provision of the [Income Tax Act 2007](#) (IT07) being considered. The definition that generally applies for the Act, particularly for subpart [EB](#), is found in s [EB 2](#).

The definition is inclusive, which means that it does not try to set out an exhaustive list of what is and what is not “trading stock”.

For trading stock valuation purposes, “trading stock” is property that a person who owns or carries on a business has for the purpose of selling or exchanging in the ordinary course of business. It includes:

- # work in progress or partly completed work that, if completed, would be trading stock
- # materials that the person has for use in producing trading stock
- # property on which expenditure is incurred that would be trading stock under the categories above if possession of it were taken, or
- # property leased under a hire purchase agreement when that property is treated as having been acquired by the lessor under s [FA 15](#) and is an asset of a business carried on by the lessor (this category applies to lessors only).

Ordinary course of business

The “trading stock” definition provides an express link between items held in the ordinary course of business and a business undertaking. The effect is that an asset is trading stock only when it is an asset in which the person’s business deals or trades. An asset held on revenue account (eg an asset acquired with the purpose of resale) is not trading stock simply because the owner of the asset happens to carry on a business. This part of the definition was deliberately added to prevent any possible argument that an asset acquired by a person who is not in the business of trading in that asset could also be treated as trading stock.

Although services form part of inventory under NZIAS 2 *Inventories*, they are not trading stock for income tax purposes.

The following items are excluded (s [EB 2\(3\)](#)) from the general definition:

- # consumable aids
- # spare parts not held for sale or exchange
- # depreciable property
- # an excepted financial arrangement that a life insurer has
- # an excepted financial arrangement held by a person if s [CX 55](#) (proceeds from disposal of investment shares) applies to the income on disposal of the excepted financial arrangement
- # livestock not used in a dealing business
- # land
- # a financial arrangement subject to the financial arrangements rules or the old financial arrangements rules
- # an emissions unit, and
- # a greenhouse gas unit that is not an emissions unit (before 30 November 2020, a non-Kyoto greenhouse gas unit).

A number of other definitions relevant to trading stock valuation under subpart [EB](#) include:

- # closing stock
- # cost
- # financial statements
- # generally accepted accounting practice
- # low-turnover trader, and

turnover.

There is also a separate definition of “[trading stock](#)” in para (b) of the s [YA 1](#) definition that applies for the following provisions of the IT07:

- # s [CG 6](#) (receipts from insurance, indemnity, or compensation for trading stock)
- # s [FC 1](#) (disposals to which this subpart applies)
- # s [FB 13](#) (trading stock — relationship property transfer)
- # ss [GC 1–GC 3](#) (disposals below market value).
- # ss [GC 20–GC 21](#) (purchase price allocation rules)

Trading stock is also further defined in s [GC 1](#) for that section to include an interest in trading stock ([¶9-087](#)).

A further definition of “[trading stock](#)” can also be found in s [EZ 48](#) for the old financial arrangements rules.

Romalpa clauses

Trading stock purchased subject to a Romalpa or reservation of title clause would most probably be trading stock for tax purposes. This is because the definition requires the stock to be “held for the purpose of selling or exchanging in the ordinary course of business”. A legal title to, or full ownership of, the stock is not required. Provided the stock is in the person’s possession, and the other part of the definition is met, the stock will be trading stock for tax purposes.

Quick reference — defining trading stock		
<i>Item</i>	<i>Satisfies trading stock criteria</i>	<i>Reference</i>
Land	No, but may be revenue account property if it would produce income on disposition.	¶9-008
Leases	Yes, where the right to possess a personal property asset is given in consideration for a lease payment.	¶9-009
Crops	Yes, if severed, eg grapes harvested from the vines. No, if standing crop, eg grapes are still on the vine.	¶9-010
Consumable aids	No, if they are held to be used as part of the manufacturing process without becoming a component part of the finished product.	¶9-011
Containers, packages, labels	Yes, these items are incorporated into the final product and are regarded as stock in trade.	¶9-012
Spare parts	Yes, if the spare parts are held for sale or exchange. No, if the parts are held for the maintenance of plant and equipment used for production.	¶9-013
Shares	Yes, if the holder is in the business of trading in shares, ie held on revenue account. No, if the shares are held on capital account.	¶9-060
Work in progress	Yes.	¶9-015

Law: IT07 ss [EB 2](#), [YA 1](#) (“[trading stock](#)”)

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Trading stock and low-turnover traders [19-006]

[19-006]

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There is a low compliance cost option for a person when the total of the turnover of the business and the turnover of associated persons for the relevant income year is \$3 million or less.

The threshold of \$3 million is a minimum amount which can be increased by Order in Council.

Turnover is the total income derived by a business in an income year from trading (ie sales) excluding the value of closing stock. The focus on income derived by a particular business means that the question of whether a person is a low-turnover trader is to be considered on a business-by-business basis.

Example:

Bill owns 2 businesses. One is in its first year of operation and has a small turnover of less than \$500,000. The second business is that of international share trader and has a turnover in excess of \$3 million. There are no associated persons involved with Bill in respect of either business.

Bill is a low-turnover trader for the purposes of trading stock tax treatment of the new business.

Before concluding that a person is a low-turnover trader, the question of associates must be carefully considered to see whether turnover from their combined business activities tips the \$3 million threshold. If the threshold is not tipped, all the associated persons are low-turnover traders.

The test of association is that provided for in ss [YB 2](#) and [YB 3](#). Briefly, this means that persons are associated only when companies have at least 50% common ownership or a person has at least 25% ownership of a company.

High-turnover traders

The term “high-turnover traders” is not a statutory term but is often used to describe a taxpayer whose turnover (including that of any associated persons) exceeds the \$3 million threshold in an income year.

Law: IT07 s [EB 13](#)

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Land as revenue account property [19-008]

[19-008]

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Land is excluded from the definition of “trading stock” in s [EB 2](#). The definition in this section applies generally for the IT07, including the trading stock valuation provisions in subpart [EB](#) and the matching regime in s [EA 2](#). However, land may be revenue account property.

Special matching rules apply to revenue account property. A deduction for the cost of such property must be allocated to the earlier of the income year in which the property is disposed of and the income year in which the property ceases to exist.

Revenue account property is defined as trading stock or property that would produce income for the person on disposition. Land will be revenue account property if its disposition will give rise to an amount of income, for example, when it is acquired by a dealer or developer. The matching rules in s [EA 2](#) will therefore apply to land when it is revenue account property.

This tax treatment provides a similar result to the approach taken by the courts for matching purposes, which in effect treated land held on revenue account as if it were trading stock, even though the trading stock definition expressly excluded land.

Note also that land whose disposal would produce income under any of the land taxing provisions is expressly included within trading stock for specific provisions of the Act, namely s [CG 6](#) (receipts from insurance, indemnity, or compensation for trading stock), s [FC 1](#) (disposals to which this subpart applies), s [FB 13](#) (trading stock — relationship property transfer), ss [GC 1–GC 3](#) (disposals below market value) and ss [GC 20–GC 21](#) (purchase price allocation).

Example:

Land purchased by a property developer was held to be a purchase of trading stock. While the relevant trading stock provisions did not apply to require the land value to be taken into account at the end of the year, the Taxation Review Authority found that the taxpayer should have shown the value of the land as an asset in its financial accounts. See Case M111 ([1990](#) 12 NZTC 2,712).

Example:

The above decision was confirmed by the High Court in *Murray Darnill Ltd v Taxation Review Authority (No 2)* ([1994](#) 16 NZTC 11,126). The effect of excluding land from the relevant trading stock provisions was to deny the trading stock valuation options from being available for land. This meant that land could only be valued in the accounts at cost for tax purposes. The exclusion did not mean that land was to be ignored as trading stock altogether as there were other sections, such as s [FB 4](#) of the Income Tax Act 1994 (concerning disposal of trading stock together with other assets of a business) and s [GD 1](#) of the Income Tax Act 1994 (concerning sale of trading stock for inadequate consideration), which provided that the term “trading stock” for their purposes does include land.

Example:

The decision in *Murray Darnill* was referred to with approval in *Garwen Holdings Ltd v C of IR* ([1995](#) 17 NZTC 12,396 at 12,399, where Blanchard J saw no general intention on the part of the Legislature to prevent recognition of a dealer's land as stock-in-trade. To adopt that approach, as advocated by the taxpayer, would create a glaring accounting anomaly. The same issue was further raised in *Thornton Estates Ltd v C of IR* ([1998](#) 18 NZTC 13,577, but it was not necessary for the Court of Appeal to decide the point.

Law: IT07 ss [EA 2](#), [EB 2\(3\)\(a\)](#)

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Trading stock — leases [19-009]

[19-009]

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A lease that is not a finance lease is an excepted financial arrangement under the financial arrangements rules. Excepted financial arrangements that are trading stock or revenue account property must be valued at cost unless a nil value can be justified ([19-060](#)).

A lease that is an excepted financial arrangement is, in effect, an agreement under which a lessor transfers to a lessee the right to possess a personal property lease asset in consideration for a personal property lease payment, including a licence to use intangible property, a lease that is 2 or more consecutive or successive leases that are treated as one lease, a hire or bailment and a sublease.

A hire purchase agreement and an assignment of a hire purchase agreement are excluded from the definition of a lease under s [YA 1](#).

Law: IT07 ss [ED 1](#), [YA 1](#) (“excepted financial arrangement”, “lease”)

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Trading stock — crops [¶9-010]

[¶9-010]

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Vegetables, trees, soil and minerals are regarded by case law as being part of the land and not trading stock until such time as they are severed from the soil. However, this is not explicit in the current trading stock definition.

See *Hood Barrs v Commr of IR (No 2)* (1957) 37 TC 188 (HL), *Saunders (I of T) v Pilcher* [1949] 2 All ER 1097, *Pasley v C of IR* [1958] NZLR 332, *Kauri Timber Co Ltd v C of T* [1913] AC 771 (PC), *Case T1* [\(1997\) 18 NZTC 8,001](#).

The decisions in *Kauri Timber Co Ltd v C of T* and *Hood Barrs v Commr of IR (No 2)* may be compared with the decision of the Privy Council in *Mohanlal Hargovind of Jubbulpore v IT Commrs* (1949) AC 521; (1949) 2 All ER 652 (PC). In that case, a firm of cigarette manufacturers entered into short-term contracts with the owners of forests in India to pick and remove the leaves of tendu trees which they used instead of paper in making cigarettes. It was held that the taxpayers were merely given a right to pick and carry away the leaves and not an interest in land or in the trees or plants themselves.

Their Lordships said that in a business sense the expenditure was:

expenditure on revenue account and not on capital account just as much as if the tendu leaves had been bought in a shop. Under the contracts it is the tendu leaves and nothing but the tendu leaves that are acquired.

Their Lordships distinguished *Kauri Timber Co Ltd v C of T* and pointed out that in the present case the trees were not acquired, nor were the leaves acquired, until the taxpayers had reduced them into their own possession and ownership by picking them and that the 2 cases were not comparable.

Therefore, the circumstances of each case must be carefully considered to determine whether what is purchased is:

- # an interest in land
- # primarily a right that will provide the purchaser with trading stock, or
- # primarily a purchase of goods with an ancillary right to obtain possession of those goods.

With the adoption of International Financial Reporting Standards, the fair value method under NZIAS 41 *Agriculture*, instead of NZIAS 2 *Inventories*, may be required to be used to value harvested trading stock. Taxpayers that adopt NZIAS 41 must value their trading stock at cost (s [EB 6\(1B\)](#)).

Law: IT07 s [EB 6\(1B\)](#)

Last reviewed on 31 December 2025

Treatment of consumable aids [¶9-011]

[¶9-011]

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Although the definition of “trading stock” includes “materials that the person has for use in producing trading stock”, there is a specific exclusion for “consumable aids to be used in the process of producing trading stock”. Consumable aids are not defined for tax purposes but are, broadly, items that are used up in the manufacturing process without becoming a component part of the finished product. For example, the consumable aids of a steel manufacturer might include coal or oil stocks, for the commerce industry, computer paper or stationery and for a farmer, stocks of hay, feed, and fertiliser.

Example:

Chemicals, cleaning fluids and various other articles used in manufacture were consumable aids and not trading stock on the basis that they would not become component parts of finished products and were not goods “purchased for purposes of manufacture”. See Case 115 (1951) 1 TBRD at 573.

In addition, at 571, the Chairman of the Board stressed the temporary life of the aid goods:

Their nature and functions are such that nearly all of them would be used up, or become unusable and worthless, as the result of being applied once in the manufacturing process and that the others ... although capable of a limited repetitive use, have a very short life.

Example:

Grinding wheels having a life of 9–24 days and furnace bricks having a life of approximately 2½ weeks were consumable aids and not trading stock. See Case 16 (1968) 4 NZTBR. See also Case E98 [\(1982\) 5 NZTC 59,522](#).

The tax treatment of consumables differs from the relevant accounting treatment set out in NZIAS 2 *Inventories*.

Purchases of consumable aids are normally allowed as a deduction under the general permission although the timing of the deduction is governed by s [EA 3](#). The timing for a deduction of such expenditure depends on whether the value of stocks of consumable aids exceeds \$58,000. If the value is under \$58,000, the expenditure incurred in purchasing the consumable aids is claimed in full as a deduction. Effectively, the value of any unconsumed stock of consumable aids at the end of the income year is not required in calculating assessable income provided it has not been capitalised for financial reporting purposes. If stocks exceed \$58,000 at balance date, the whole value of these stocks is capitalised as either deferred or prepaid expenditure, or as stocks of consumable aids, ie the unexpired portions of expenditure are added back to income (*Determination* [E12](#) and [¶10-056](#)).

Example:

Bigfoot Shoes Ltd purchases 50,000 litres of solvent at a cost of \$100,000 during the 20X5–X6 income year. The solvent is for use in shoe manufacturing. At the end of the income year, drums containing 30,000 litres of solvent (with a cost of \$60,000) remain unopened.

The entire cost of the solvent is allowed as a deduction in the 20X5–X6 income year as expenditure on a consumable aid. However, because the unexpired portion of the solvent is \$60,000, and therefore greater than \$58,000, the unexpired portion of \$60,000 must be included as income in the 20X5–X6 income year.

The \$60,000 becomes deductible in the 20X6–X7 income year but, if the timing rule for prepayments applies again in that year, further income will be derived on the unexpired portion.

Under the trading stock rules, consumable aids form part of the costs allocated by persons valuing closing stock at cost. They represent a part of the cost of putting the trading stock in its present location and condition ([¶9-025](#)). However, consumable aids are excluded from the definition of trading stock for tax purposes. What this means in practice is that persons who comply with NZIAS 2 *Inventories* for financial reporting purposes must include the cost of consumable aids as income for tax purposes under s [EA 3](#)

regardless of the amount held at the end of the year. *Determination E12* will not apply as the cost of the consumable aids has been capitalised for financial reporting purposes. See example 3 in *Tax Information Bulletin ¶1012-118 Vol 10, No 12*, December 1998 at 25–26.

If the costs of consumable aids have previously been claimed as a deduction, any insurance proceeds subsequently received for lost or damaged consumable aids will be income.

Interpretation statement, [IS 14/03](#), “Income tax — consumable aids”, outlines what a consumable aid is, how the expenditure on consumable aids is deductible, when expenditure on consumable aids needs to be added back under s [EA 3](#) and how *Determination E12* applies to consumable aids.

Law: IT07 ss [EA 3](#), [EB 2\(3\)\(g\)](#)

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Trading stock — containers, packages, labels [T9-012]

[T9-012]

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In contrast to consumable aids, containers, packages, labels and similar materials are incorporated in the final product and are regarded as stock in trade (*Case 115 (1951) 1 TBRD (NS) 485*).

This would appear to be confirmed by s [EB 2\(2\)\(b\)](#). This provision refers to material held by the person for use in producing trading stock.

Law: IT07 s [EB 2\(2\)\(b\)](#)

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Trading stock — spare parts [¶9-013]

[¶9-013]

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Spare parts may be held for 2 purposes:

- # as replacement elements for items of trading stock, or
- # for the maintenance of plant and equipment.

The first category falls within the “trading stock” definition in s [EB 2\(2\)](#). Other spare parts are excluded from the definition when those parts are not held for sale or exchange (s [EB 2\(3\)\(h\)](#)). An example of this is spare parts held for plant maintenance purposes. These spare parts are included in inventory under NZIAS 2 *Inventories*.

Example:

Stocks of spare parts and stores were held not to be part of stock in trade: however, it had first been held that a loss on the destruction of stocks of spare parts and stores was a capital loss and not allowable as a deduction. Dixon J thought that when the spare parts were issued and taken into use their cost should be debited to running costs. See *Guinea Airways Ltd v FC of T* ([1950](#)) [83 CLR 584](#).

Normally, the time to claim a deduction, as in a case of the purchase of consumable aids, is the year in which the expenditure on the purchase was made. Spare parts are either depreciated or subject to the timing rule for prepayments in s [EA 3](#) and added back as income.

Law: IT07 ss [EA 3](#), [EB 2\(2\)](#), [\(3\)\(h\)](#)

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Trading stock — work in progress [¶9-015]

[¶9-015]

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Work in progress is included in trading stock, with the same principles and requirements to be met as when valuing trading stock. For example, to a manufacturer, work in progress will be the value of partially completed trading stock, to a service provider it is the value of work yet to be billed and to a building contractor it is the value of labour and materials yet to be billed to the customer. The same costing methods applicable to finished goods will be applied to the cost of work in progress.

Law: IT07 s [EB 2\(2\)\(a\)](#)

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Methods for valuing closing stock [¶9-020]

[¶9-020]

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Tax is calculated on a taxpayer's net income amount. Therefore, by minimising the value of trading stock on hand at year-end, the deduction for cost of goods sold is maximised and the resulting tax liability reduced.

However, opportunities for increasing deductions are now limited because closing stock must be calculated using prescribed methods and these methods must be consistently applied (s [EB 3\(1\)](#)).

The standard valuation methods for valuing closing stock are:

- # cost ([¶9-030](#), [¶9-025](#), [¶9-035](#)), or
- # discounted selling price ([¶9-040](#)), or
- # replacement price ([¶9-050](#)), or
- # market selling value ([¶9-055](#) and [¶9-056](#)).

Obsolete stock must also be valued under these rules.

These rules do not apply to excepted financial arrangements (s [EB 3\(3\)](#)), eg shares that are to be valued at cost under ss [ED 1](#) ([¶9-060](#)) and [ED 2](#) ([¶9-065](#)), unless they are written off as worthless.

In the case of livestock, except for livestock used in dealing operations, the valuation methods are set out in s [EC 3](#).

Taxpayers may use more than one valuation method to value their closing stock. They may use a cost valuation method for some stock and a market selling valuation for other stock that has a value less than cost. Taxpayers may also use more than one cost valuation method to value closing stock. However, the Commissioner generally expects that they will apply the same cost valuation method to groups of similar or related items of trading stock. For example, a manufacturer might use cost to value most stock and discounted selling price for stock sold in a factory shop. The cost valuation methods used must be consistent with those adopted for financial reporting purposes (*Tax Information Bulletin* [¶1012-118 Vol 10, No 12](#), December 1998 at 22).

Law: IT07 ss [EB 3](#), [EB 4](#)

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Cost-flow methods for valuing trading stock items [19-025]

[19-025]

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When purchases are made at various prices during the year and some, but not all, of that trading stock remains on hand at year-end, the question is how to value the cost of that trading stock.

The choice of method, or cost-flow assumption, is particularly important for tax purposes because it affects the closing value of trading stock and, consequently, the amount of income to be returned.

The trading stock rules allow 2 methods for assigning such costs. They are:

- # first-in first-out (FIFO) method, and
- # weighted average cost method.

First-in first-out is a method that deems stock to be disposed of in the same order as it is purchased. Closing stock is therefore valued at the cost of the most recent purchases.

Under the weighted average method, cost is computed by averaging the amount at which stock is brought forward at the beginning of the income year with the cost of stock acquired during the year. Consumption of stock during the year is deducted at the average cost of stock so ascertained. In times of rising price levels this method can result in a relatively high value compared to current costs on a falling market, and a relatively low value in a rising market.

When an item of trading stock cannot be separately identified, or it is an excepted financial arrangement, one of these methods must be applied to ascertain the cost of items included in closing stock.

Taxpayers may elect to apply one of these methods to trading stock that can be separately identified.

Consistency

All persons are subject to consistency requirements in respect of cost-flow methods. For a low-turnover trader, the cost-flow method chosen must be applied consistently from year to year. For other persons, the cost-flow method used by the person in assigning costs to closing stock must be the same as the method used in the financial statements for the income year.

Joint products and by-products

Joint products and by-products are not referred to in subpart [EB](#). Taxpayers should apply generally accepted accounting practice in such cases.

Law: IT07 s [EB 7](#)

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Valuing closing stock at cost: high-turnover traders [19-030]

[19-030]

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The methods for valuing closing stock (excluding excepted financial arrangements) at cost are set out in ss [EB 6](#)–[EB 8](#).

For these purposes “cost” means costs incurred in the ordinary course of business to bring trading stock to its present location and condition. Cost includes acquisition costs and costs of production. Storage costs may also be included. See the definition of “[cost](#)” in s [YA 1](#).

Taxpayers must take into account all costs under generally accepted accounting practice for valuing inventory. These costs must then be allocated to closing stock using methods acceptable under such practice, unless the person uses NZIAS 41 *Agriculture* to account for trading stock in their accounts.

The starting point for determining cost under generally accepted accounting practice is NZIAS 2 *Inventories*.

Where a person uses NZIAS 41 *Agriculture* to account for trading stock in their accounts, that person must value their closing stock at cost, and include and allocate costs so that their closing stock value is not materially different from the value obtained by applying NZIAS 2 *Inventories*, ignoring para 20 of NZIAS 2.

The trading stock rules state that a person will not have complied with generally accepted accounting practice if the value of closing stock is materially different from the value obtained by applying the relevant standard (s [EB 6\(2\)](#)).

However, it has also been pointed out that by simply applying NZIAS 2 a person will not automatically be regarded as having complied with the requirements of the Act for tax purposes. In most cases, a tax reconciliation will be required for persons who do comply with NZIAS 2. Some of the items that will need to be taken into account include:

- # any non-material departures from NZIAS 2 that are allowed for accounting purposes
- # adjustments for non-deductible costs such as holiday pay accruals
- # adjustments for tax depreciation, and
- # adjustments that take into account the treatment of consumables and spare parts.

Tax treatment for budgeted costs of trading stock

Manufacturers or producers of trading stock commonly use a budgeted or standard cost method of cost allocation to trading stock for financial reporting purposes. For tax purposes, any variance between these cost allocations and actual costs of production are pro-rated between the cost of trading stock sold or exchanged during the year and the closing stock (s [EB 8](#)). (The section does not apply to low-turnover traders.)

Example:

Sticky Buns Ltd values its trading stock at \$4.50 per unit using a standard cost system under NZIAS 2 *Inventories*. In the 20X5–X6 income year, it produces 100,000 units at \$5 per unit and sells 90,000 of those units. The variance is:

	\$000
Production costs as per financial reports:	
100,000 units @ \$4.50 per unit	450
less actual production costs	
100,000 units @ \$5.00 per unit	<u>500</u>

equals variance

50

The variance is allocated as follows:

Cost of trading stock sold:

$$90,000/100,000 \times 500,000 = \$450,000$$

Cost of closing stock:

$$10,000/100,000 \times 500,000 = \$50,000$$

Portion of variance allocated to closing stock:

variance	×	$\frac{\text{cost of closing stock}}{\text{cost of stock sold cost} + \text{cost of closing stock}}$
\$50,000	×	$\frac{\$50,000}{\$450,000 + \$50,000}$
\$50,000	×	10%
= \$5,000		

Value of closing stock:

NZIAS 2 + portion of variance

$$= \$45,000 \text{ (ie } 10,000 @ 4.50 \text{ per unit)} + \$5,000$$

$$= \$50,000$$

Note: Closing stock for 20X6 = opening stock for 20X6–X7. The value of opening stock is allowed as a deduction under ss [EA 1\(3\)](#) and [DB 49\(2\)](#). The variance may be allocated over goods produced in an earlier income year and sold in a later year.

Trading stock items not separately identifiable and excepted financial arrangements

For trading stock items that are not separately identifiable, either the FIFO method or the weighted average cost allocation method must be used to identify:

- # which items of stock are included in closing stock, and
- # the cost of those items.

The same cost-flow rules apply to excepted financial arrangements (s [EB 7](#)).

Even if trading stock can be separately identified, the above cost allocation methods can be adopted.

Law: IT07 ss [EB 6](#)–[EB 8](#), [EB 12](#)

Last reviewed on 31 December 2025

Valuing closing stock at cost: low-turnover traders [¶9-035]

[¶9-035]

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Low-turnover traders who choose to value trading stock at cost must value it either under s [EB 16](#), [EB 17](#) or [EB 18](#). Alternatively they may choose to follow NZIAS 2 *Inventories* as outlined at [¶9-030](#).

Low-turnover traders who manufacture or produce trading stock must include the following costs of production when determining the value of closing stock:

- # direct and indirect material costs
- # direct and indirect labour costs
- # utilities costs (heat, light and power)
- # costs of repairing and maintaining factory plant
- # costs of renting factory plant, and
- # amounts of depreciation loss on factory plant.

Any additional costs of production that have been taken into account in the low-turnover trader's financial statements must also be included in the cost of closing stock for tax purposes. This must be done every year.

If the low-turnover trader acquires trading stock rather than producing it, the direct transport and insurance costs incurred in bringing the stock to its present location and condition must be included. These costs are in addition to purchase price.

If a low-turnover trader has turnover of \$1,300,000 or less in an income year they may use the value of opening stock as being the value of closing stock, providing they can reasonably estimate that the value of their closing stock for the income year is less than \$10,000 (s [EB 23](#)).

Low-turnover traders who comply with NZIAS 2 when valuing closing stock at cost must comply with the consistency and disclosure requirements of NZIAS 8 *Accounting Policies, Changes in Accounting Estimates and Errors*.

Low-turnover traders who do not comply with GAAP must be consistent from year to year in:

- # their cost valuation method adopted
- # their use of market selling value, if it is greater than cost
- # their use of a cost-flow method of allocating costs (either FIFO or weighted average)
- # the extent to which they include indirect cost in the cost of trading stock that they manufacture or produce, and
- # their method of calculating discounted selling price.

A low-turnover trader may make changes with respect to the above. However, any changes must be justified by sound commercial reasons (which does not include the advancement, deferral or reduction of an income tax liability) or by another provision of the trading stock regime. Where a change is made, the trader must keep sufficient details of the change and the reasons for it.

Law: IT07 ss [EB 15](#)–[EB 18](#), [EB 22](#), [EB 23](#)

Last reviewed on 31 December 2025

Discounted selling price for valuing trading stock [19-040]

[19-040]

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A person may determine the value of their closing stock at its discounted selling price if they use discounted selling price for their trading stock in their financial statements. In determining discounted selling price, a distinction is drawn between retailers and other persons.

Retailers: high- and low-turnover traders

For a retailer that uses discounted selling price in the retailer's financial statements, or a low-turnover trader that does not prepare financial statements, discounted selling price is calculated on each department or category of goods as:

the total of the retail selling price of the goods

less

the normal gross profit margin calculated under NZIAS 2 *Inventories*.

The normal gross profit margin must also include all costs that are required to be included under the cost method of valuation ([19-030](#) and [19-035](#)).

Retailers with turnover of \$1 million or less

Under s [EB 9\(4\)](#) there is an exception for retailers with a turnover not exceeding \$1 million. These traders may determine the discounted selling price of all closing stock by discounting the total of the retail selling prices of the goods by the trader's average gross profit margin for all closing stock valued at discounted selling price in the income year. In effect, a single gross profit margin is applied to all stock on hand at year-end. The \$1 million benchmark may be increased by Order in Council.

There is no definition of the term "retailer" in s [YA 1](#). It is used in subpart [EB](#) in its ordinary commercial sense.

Example:

A retail sale has been defined as one in small quantities to an ultimate consumer. See *Marguerite Leatherwear Ltd v C of IR* ([1987](#)) [9 NZTC 6,068](#).

This concept of a sale to an end-user who is a consumer was also applied in *National Westminster Finance New Zealand Ltd v South Pacific Rent-a-Car* [1985] 1 NZLR 646 at 651.

Non-retailers: high- and low-turnover traders

The discounted selling price method is available to non-retailers, both high- and low-turnover (ss [EB 9\(6\)](#) and [EB 19\(5\)](#)). The calculation for each category of goods is:

the total market selling values of goods in each category

less

the normal gross profit margin for the category of goods.

The total cost of goods calculated as part of the normal gross profit margin must include all costs required to be included under the cost method of valuation as appropriate ([19-030](#) and [19-035](#)).

Transport and insurance costs for trading stock that is acquired plus any additional costs recorded in the financial statements or for tax purposes must also be included.

The normal gross profit margin must be recalculated for each category of goods for each income year.

Nursery stock

Inland Revenue (IR) issued guidelines for the use of discounted selling price (DSP) for the valuation of nursery stock in *Tax Information Bulletin* ¶1311-137 Vol 13, No 11, November 2001 at 68. Nursery plants have been divided into 5 categories:

Type of stock	DSP value
Bedding plants	58%
House plants and roses	55%
Liners/plugs	52%
Shrubs and perennials	48%
Trees	42%

Mature plants: the DSP of mature plants in each category is calculated by multiplying the selling price of the plant by the DSP value.

Example:

A nursery has 100 mature rose plants on hand at balance date. The nursery sells their mature roses to a retailer for \$10 each. The value of that stock for trading stock purposes is \$550 (100 plants × \$10 × 55%).

Immature plants: the DSP of immature plants is calculated by multiplying the DSP of a mature plant by a ratio of the whole years of completed growth to the number of whole years the plant takes to reach maturity.

Example:

A nursery has 100 12-month-old shrubs and 200 24-month-old shrubs on hand at balance date. The shrubs take 3 years to mature and sell for \$20 each.

The value for the purposes of the trading stock rules of the one-year-old plants would be \$160 (100 plants × \$20 × 48% × 1/3), and the 2-year plants would be \$639 (200 plants × \$20 × 48% × 2/3).

Over-mature plants: the value of over-mature plants or plants past their prime can be calculated by multiplying their revised market value by the DSP value. The revised market value is the actual price at which the grower expects to sell a plant in that condition. In the event that plants are scrapped and are no longer part of a grower's business their value for trading stock purposes will be nil.

Example:

A nursery business has 200 mature but frost-damaged Manuka plants at the back of its nursery. Mature plants are normally sold for \$30 each. The frost-damaged items are being offered for sale at \$20. The value of these plants for trading stock purposes is \$1,680 (200 plants × \$20 × 42%).

Nursery growers who prefer to calculate their own discounted selling prices are able to do so. However, they must keep records that justify their valuations.

If a taxpayer is not eligible to use the DSP method, they will have to value their stock at cost (using a cost valuation method) or at market selling value.

Law: IT07 ss [EB 9](#), [EB 19](#)

Last reviewed on 31 December 2025

Replacement price for valuing trading stock [19-050]

[19-050]

[Click to open document in a browser](#)

High-turnover trader

Replacement price may be used to value closing stock if it is used in the person's financial statements. The replacement price of a trading stock item is the market value (exclusive of GST) for the acquisition of the item by the person on the last day of the income year. When no replacement price is available for the last day of the year, the last price paid (exclusive of GST) for that item during the income year is taken as the relevant price (s [EB 10](#)).

Low-turnover trader

A low-turnover trader may apply replacement price to closing stock if (s [EB 20](#)):

- # they do not prepare financial statements, or
- # they prepare financial statements and determine the value of their closing stock at its replacement price.

The replacement price is:

- # the market value of the trading stock on the last day of the income year, or
- # the last price that the low-turnover trader paid during the income year to acquire equivalent trading stock.

Law: IT07 ss [EB 10](#), [EB 20](#)

Last reviewed on 31 December 2025

Valuing closing stock at market selling value: high-turnover traders [¶9-055]

[¶9-055]

[Click to open document in a browser](#)

A high-turnover trader may value closing stock at market selling value when that value is less than cost.

However, the market selling value must be backed up by reasonable evidence, such as the offering of goods for a period before and after balance date. If this is not possible, then valuation must be made using one of the prescribed cost valuation methods. If there is no active market from which comparisons can be drawn, the person may offer an independent valuation. This must be provided for taxation purposes, that is, using the market selling value definition rather than the net realisable value concept in NZIAS 2 *Inventories*.

Market selling value for an item of trading stock is the amount that a person normally expects to receive from a sale in the ordinary course of business after deducting:

- # estimated costs of completion, and
- # expected costs of sale (usually incurred) comprising:
 - # transportation
 - # insurance
 - # sales commissions, and
 - # discounts to buyers.

The expected costs of sale are deductible by a person who prepares financial statements provided that the costs have been taken into account when calculating net realisable value in the financial statements (s [EB 11\(4\)](#)).

A clearance sale is regarded as being in the ordinary course of business. The act of quitting or intending to quit a line of stock will normally arise in the ordinary course of business. The relevant price at which the taxpayer can clear the stock is the market selling value. Discount sales to persons who are not in an arm's length relationship with the person will not come within this classification, eg cheaper sales made to employees. Similarly, sales held around balance date to establish what would be an artificial sale figure that is lower than usual for tax purposes will not be in the ordinary course of business.

Law: IT07 s [EB 11](#)

Last reviewed on 31 December 2025

Valuing closing stock at market selling value: low-turnover traders [19-056]

[19-056]

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A low-turnover trader may value closing stock at market selling value whether that value is higher or lower than cost. However, if the value is higher than cost, the trader must consistently use market selling value from one year to the next. It would seem unlikely that a trader would choose to use a value higher than cost (unless there was no alternative) given that closing stock is added to gross income.

Market selling value is established in the same way as for high-turnover traders, ie the amount normally expected from the sale of the stock less the estimated costs of completion and expected costs of sale ([19-055](#)).

Law: IT07 s [EB 21](#)

Last reviewed on 31 December 2025

Excepted financial arrangements held as trading stock [¶9-060]

[¶9-060]

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Excepted financial arrangements are financial arrangements that are excluded from the ambit of the financial arrangement rules.

An excepted financial arrangement that is held as trading stock or revenue account property must be valued at cost. This category includes shares (other than a share acquired under a share-lending arrangement or a share-lending right), options, short-term trade credits, annuities, insurance contracts, gaming and lottery bets, emissions units, cryptocurrency and various agreements for the sale or lease of property (s [EW 5](#) and [¶6-065](#)).

A share acquired under a share-lending arrangement, or a share supplier's share-lending right, is valued at the original cost of the share, determined immediately before the share supplier's disposal of the share under the relevant share-lending arrangement (s [ED 1\(4\)](#)). This ensures that there is no movement in the value of shares under a share-lending arrangement for trading stock purposes.

A share acquired under a taxable bonus issue made on or after 30 March 2017 is valued immediately before disposal at the amount of the dividend (taxable bonus issue), not including any imputation credits attached or withholding tax withheld (s [ED 1\(4B\)](#)).

Excepted financial arrangements are trading stock when the asset is part and parcel of the person's business. For example, a person in the business of share trading would hold shares as trading stock. Alternatively, shares which are bought for resale at a profit may not be classed as trading stock but could meet the definition of "revenue account property" in s [EA 2](#) ([¶5-217](#)).

For the valuation of emissions units see [¶9-062](#).

In all other cases, the value must be calculated using the FIFO method or weighted average cost method. In the case of shares, these methods apply on the basis of share types rather than across an entire share portfolio, eg where more than one parcel of the same type of shares is held.

A trader who complies with generally accepted accounting practice must comply with the consistency and disclosure requirements of NZIAS 8 *Accounting policies, Changes in Accounting Estimates and Errors* (s [ED 1\(6\)](#)).

An excepted financial arrangement held as trading stock may be given a nil value when:

- # it has no present or likely future market value, and
- # it has been written off as worthless (eg where shares have been de-listed from the stock exchange) (s [ED 1\(8\)](#)).

Law: IT07 ss [EA 1](#), [EB 3\(3\)](#), [ED 1](#)

Last reviewed on 31 December 2025

Valuation of emissions units [¶9-062]

[¶9-062]

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An emissions unit is an excepted financial arrangement (s [EW 5\(3B\)](#)). Income derived from the disposal of an emissions unit is income to a person ([¶15-228](#)). Emissions units are required to be valued at cost at the end of each income year. Costs must be allocated using the FIFO or weighted average cost method.

Businesses that receive emissions units from more than one source (eg units awarded for carbon capture in a post-1989 forest, and fishing quota emission units) are required to hold the units in separate pools for valuation purposes. This is because different types of emissions units have differing tax treatments.

Restrictions apply to which emissions units may be pooled when applying the chosen cost method.

No pooling

The following types of emissions units may not be pooled with other types for the purposes of cost-flow methods (s [ED 1\(5B\)](#)):

1. pre-1990 forest land emissions units relating to pre-1990 forest land, if the holder of the units would derive income, other than exempt income and excluded income, from a disposal of the land without timber
2. post-1989 forest land emissions units
3. forest sink emissions units
4. replacement forest land emissions units
5. fishing quota emissions units, if the holder of the units would derive income, other than exempt income and excluded income, from a disposal of the individual transferable quota to which the units relate
6. pre-1990 forest land emissions units relating to pre-1990 forest land, if the holder of the units would derive no income other than exempt income and excluded income from a disposal of the land without timber
7. fishing quota emissions units, if the holder of the units would derive no income, other than exempt income and excluded income, from a disposal of the individual transferable quota to which the units relate
8. emissions units issued for no consideration to which s [ED 1B](#) apply and that have not been assigned a cost.

Exception to no-pooling rule

Despite the rule above, under s [ED 1\(5C\)](#) emissions units from the first 5 points above may be pooled together. In addition, emissions units under the sixth and seventh point may be pooled together, if those are the only types of units pooled.

Exception to the requirement to value at cost — ss [ED 1\(7B\)\(a\)](#) and [ED 1B](#)

Some emissions units are valued at zero at year end. The treatment is specified in ss [ED 1\(7B\)\(a\)](#) and [ED 1B](#).

Certain non-forestry businesses were allocated units without payment (“free” units) under the emissions trading scheme (ETS). These are some of the businesses that faced increased costs as a result of the introduction of the ETS, whether in the form of a new liability to surrender emissions units under the Climate Change Response Act 2002 (CCRA), or increased costs, eg increased electricity prices.

When a person holds emissions units as revenue account property, a value must be assigned to that property at the end of each income year. Certain emissions units have a predetermined value.

The following have a value of zero (s [ED 1\(7B\)](#)):

- # emissions units transferred under Pt 4, subpart 2 of the CCRA for no payment and to which s [ED 1B](#) does not apply. The unit has a zero value during the period beginning with the day of the transfer and ending before the end of the income year in which the transfer took place
- # a forest land emissions unit at the end of each income year
- # a replacement forest land emissions unit at the end of each income year, and
- # a fishing quota emissions unit at the end of each income year if the holder of the unit would derive income other than exempt or excluded income from disposal of the individual transferable quota to which the units relate.

In addition, emissions units to which the valuation rules under s [ED 1B](#) apply (see below) have valuations set by that provision.

Valuation of free units

The valuation rules for free units that have been allocated and that a business holds at the end of an income year are contained in s [ED 1B](#). Under these rules, income arises from valuing an appropriate number of zero-value units at market value.

Section [ED 1B](#) applies to units in an income year that:

- # are transferred for zero price in terms of the government allocation plan (under ss 80–86F of the CCRA), for a removal activity (under s 64 of the CCRA), by a public authority under a supplementary agreement to a negotiated greenhouse agreement or by a public authority as a rebate, under a negotiated greenhouse agreement, for an indirect emissions charge, and
- # have been held continuously from the time of transfer, and
- # have not been valued at market value under s [ED 1B\(4\)\(a\)](#) (shortfall for transferred units) or s [ED 1B\(8\)\(a\)](#) (revalued units).

Emissions units transferred to the person are valued at zero at the time of transfer if there is no shortfall in earlier income years (see below) (s [ED 1B\(2\)](#)).

Ordinary concepts of accrual accounting are used to determine the business's income (defined as "unit entitlement" in s [ED 1B\(7\)](#)). Sections 83 and 85 of the CCRA provide a statutory formula by which the business's ultimate entitlement to units for the income year can be determined. The formula multiplies some known factors (the prescribed level of assistance and the "allocative baseline" for the specific eligible activity) by the business's production output for the year to determine the business's ultimate entitlement to an allocation of units. If the business's income year does not end on the same 31 December date as an emissions year, 2 calculations are likely to be required because the prescribed level of assistance changes from one emissions year to the next. These income calculations are likely to be the same as those used for financial reporting purposes. The output of these calculations is a number of emissions units which, when multiplied by the market value of emissions units, is an amount of income.

It is likely that the business will have received some emissions units from the Crown during the course of the income year and may still hold some or all of them. Because of the 2-step method of allocation, it is unlikely that the business will hold precisely the same number of emissions units as its allocation as described in the previous paragraph.

In the simplest scenario, if the business has not carried forward from a previous year a unit shortfall, s [ED 1B\(6\)](#) and [\(8\)](#) will assign year-end market value to the number of zero-value units held as equal to the unit entitlement determined under s [ED 1B\(7\)](#). If the business holds more zero-value units than the unit entitlement, the excess units are assigned a value of zero (s [ED 1B\(8\)\(b\)](#)) to be carried forward into the next income year.

Example: Falling production — excess emissions units allocated

A Ltd has a 31 December year-end. In March the government transfers 150 emissions units to A Ltd. However, because of falling production, its final allocation for the year is only 100 units. It values 100 units at market value at year end and continues to hold the remaining 50 at nil value. These units will either be transferred back to the government or offset against a future allocation.

If the business holds fewer zero-value units than the unit entitlement (unit shortfall), s [ED 1B\(9\)](#) and [\(11\)](#) effectively create an additional amount of unit value (unit shortfall value), which the business is required to recognise as income by virtue of its addition to the value of emissions units held under s [ED 1B\(11\)](#).

The consequences of a unit shortfall in a previous year are dealt with by s [ED 1B\(3\)](#), [\(4\)](#) and [\(10\)](#). Zero-value units received in a year subsequent to a unit shortfall year are first applied to the unit shortfall, by being valued at the market value that applied at the end of the unit shortfall year (*Tax Information Bulletin*, ¶[231-112 Vol 23, No 1](#), February 2011 at 88).

Example: Rising production — insufficient emissions units allocated

B Ltd has a 31 December year-end. In March the government transfers 100 emissions units to B Ltd. However, because of increasing production, its final allocation for the year is 150 units. It values all 100 units at market value and records an additional amount of income equal to 50 units × market value.

In March of the next year, B Ltd receives an additional 50 units, representing the shortfall for the previous year. These 50 units will be assigned a market value equal to the market value of a unit at the end of the previous income year. (The legislation operates to ensure that no double-counting of income occurs because the unit shortfall value is reduced by s [ED 1B\(10\)](#) and so no longer forms part of the s [ED 1B\(11\)](#) adjustment.)

Law: IT07 ss [EB 2\(3\)\(i\)](#), [ED 1\(5B\)](#), [\(5C\)](#), [\(7B\)](#), [ED 1B](#), [EW 5\(3B\)](#)

Last reviewed on 31 December 2025

Emissions units and anti-avoidance [¶9-063]

[¶9-063]

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Section [GC 3B\(1\)](#) states that s [GC 1](#) applies to a disposal of emissions units as if they were trading stock.

Section [GC 3B\(2\)](#) states that s [GC 1](#) will not apply to disposal of an emissions unit if the disposal is:

- # the surrender of the unit under the Climate Change Response Act 2002, or
- # the transfer of the unit to the Crown under a permanent forestry scheme (before 23 June 2020, a forest sink covenant under s 67Y of the Forests Act 1949), or
- # the transfer of a forest land emissions unit from the person who received it from the Crown to a person as a party to a forestry rights agreement and as required by that agreement relating to the allocation of income or emissions units between the transferor and transferee, or
- # cancellation of the unit.

If s [GC 1](#) applies and a unit has been disposed of for less than market value, the vendor will be treated as having derived market value from the disposal and the purchaser will be treated as having paid market value for the unit ([¶9-087](#)).

Law: IT07 ss [GC 1](#), [GC 3B](#)

Last reviewed on 31 December 2025

Valuation of excepted financial arrangements transferred within a group [19-065]

[19-065]

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Restrictions are placed on transfer values of excepted financial arrangements that are trading stock or revenue account property transferred between wholly-owned group companies. These rules aim to stop persons within a wholly-owned group from transferring assets (such as shares) that have fallen below cost between themselves at market value before balance date, in effect gaining a deduction for an unrealised loss. The transfer may be by way of sale or other disposition or by distribution.

The asset is treated as having been transferred at the cost to the transferor.

The rule applies only when the excepted financial arrangement is transferred between 2 companies that are New Zealand resident on the date of the transfer. The rule does not apply if the transfer of the excepted financial arrangement is made under a share-lending arrangement (s [ED 2\(1\)\(b\)](#)). Further, if the rule applies, the transfer is not a dividend under s [ED 2\(4\)](#).

If the transferee ceases to be a member of the same wholly-owned group of companies, the excepted financial arrangement is treated as having been disposed of and reacquired at its market value at the time the transferee company stops being a member of the group (s [ED 2\(3\)](#)).

Law: IT07 ss [CD 28](#), [ED 2](#)

Last reviewed on 31 December 2025

Trading stock transferred within wholly-owned group [19-070]

[19-070]

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A concession allows any profit element on the transfer of trading stock between New Zealand resident wholly-owned group companies to be ignored for tax purposes. Section [EB 5](#) allows Company B (the company holding the stock at balance date) to value the stock at the original acquisition cost to Company A. Note that the favourable treatment does not apply to excepted financial arrangements ([19-065](#)). However, it does apply to livestock (s [EC 4](#)).

To be eligible for this concession, the following requirements must be met:

- # Company A and Company B remain part of the group at the end of the income year and either:
 - # the income years of Company A and Company B end on the same date, or
 - # they end on different dates and the Commissioner has approved both dates as corresponding to the end of a business cycle and as necessary to prevent material distortion of the net income that would occur if the income years ended on the same date.
 - # The trading stock must have been held at all times from the time it was originally acquired until the end of the relevant income year within the group by a New Zealand resident member (whether or not that company originally acquired the trading stock).
 - # Company B (holding the trading stock at year-end) and Company A (which originally acquired the trading stock) must remain members of the same wholly-owned group at the end of the income year.

Where Company A and Company B cease to be members of the same wholly-owned group of companies, Company B is deemed to have sold the trading stock at market value and immediately repurchased it at the same price (s [EB 5\(3\)](#)). A classic example of when this adjustment will occur is upon the liquidation of the other company. The consideration for both the disposition and the re-acquisition is the market value prevailing at the time the companies cease being wholly-owned group companies. If the stock's market value cannot be determined separately from other property, the market value at the date of acquisition by Company B is used. Any profit or loss arising on the sale of trading stock is only realised for tax purposes when the trading stock is transferred to an entity outside the wholly-owned group of companies.

Law: IT07 ss [EB 5](#), [EC 4](#)

Last reviewed on 31 December 2025

Trading stock transferred to shareholder [¶9-071]

[¶9-071]

[Click to open document in a browser](#)

Where a company transfers trading stock to a shareholder or an associated person of a shareholder, the transfer occurs at market value for both the transferor and the transferee.

Although see discussion at [¶9-087](#) for exclusions from the market value deemed disposal rule in certain cases.

Law: IT07 ss [CD 6](#), [FC 1](#), [FC 2](#)

Last reviewed on 31 December 2025

Disposal of trading stock on sale of a business [¶9-085]

[¶9-085]

[Click to open document in a browser](#)

When trading stock is sold in the ordinary course of a business, s [CB 1](#) applies to include amounts derived from the sale in the income of the person. However, when trading stock, or a share or interest in trading stock, is disposed of outside the ordinary course of business, or to put an end to the business or a part of it, amounts received from that disposal are included in assessable income under s [CB 2](#). The person receiving the trading stock is deemed to have acquired it at the same consideration. A disposal is widely interpreted to include an exchange, gift or distribution under a will or on intestacy, but does not include a disposal under any of ss [FC 3–FC 8](#) (which relate to distributions after death) that is not at market value.

From 1 April 2024, the amended purchase price allocation rules and the deemed market value rules (s [GC 1](#)) apply to determine the allocation of the purchase price for trading stock disposed of with other business assets:

- # for a business sale between associated parties, the purchase price allocation rules apply and any trading stock is deemed to be disposed of for market value ([¶133-200](#))
- # for a business sale between non-associated parties, s [GC 1](#) applies and deems the trading stock portion of the disposal to be at market value ([¶19-087](#)).

Before 1 April 2024, where the purchaser price allocation rules did not apply, former s [EB 24](#) deals with the consideration attributable to trading stock when it is disposed of with other business assets.

Binding ruling [BR Pub 14/08](#), “Income tax — timing of disposal and derivation of income from trading stock”, states the Commissioner’s view that unless the parties expressly agree otherwise, the date of disposal (and hence the income year in which the consideration is derived) will be determined according to the relevant statutory presumption in s [146](#) of the Contract and Commercial Law Act 2017. In short:

- # if unconditional contract for goods that are specific and in a deliverable state — the date the contract becomes unconditional
- # if the vendor must do something to make the goods deliverable or the vendor must weigh, measure or test the goods to ascertain the selling price — the date such action is completed and the buyer is notified
- # if goods are delivered to a buyer on “sale or return” or similar terms — the time at which the buyer signifies their approval or retains the goods without notifying rejection within an agreed or reasonable timeframe
- # if unascertained or future goods are sold by description — when the goods are in a deliverable state and unconditionally appropriated to the contract by either party with the assent of the other.

The ruling applies for an indefinite period from the start of the 2014–15 income year.

Law: IT07 ss [CB 2](#), [EB 24](#), [GC 1–GC 3](#), [GC 20](#), [GC 21](#)

Last reviewed on 31 December 2025

Disposal of trading stock at below market value [19-087]

[19-087]

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Trading stock, or an interest in trading stock, that is sold or otherwise disposed of for no consideration or for less than market value is treated for tax purposes as having been sold at market value on the date of disposal. This deemed market value is income to the seller and is treated as expenditure to the purchaser (s [GC 1](#)).

From 1 April 2024, the deemed market value rule is limited to the following scenarios (s [GC 1\(1\)\(b\)](#)):

- # the disposal is effected by a person taking the trading stock for their own use or consumption
- # the disposal is not made by a person in the course of carrying on a business for the purpose of deriving assessable income or excluded income, or a combination of both, or
- # the disposal is made to an associated person.

In *Foodstuffs (Wellington) Co-operative Society Ltd v C of IR* ([\(2010\) 24 NZTC 23,959](#)), the High Court confirmed that the market value of shares (held as trading stock) that were cancelled on amalgamation was income of the shareholder, and that s [GC 1](#) applied to the transaction.

Section [GC 2](#) provides that s [GC 1](#) also applies to the following disposals as if they were disposals of trading stock:

- # the grant (other than in favour of the grantor) of a right to take timber, or
- # the sale or other disposal of land with standing timber on the land, other than a disposal subject to a right in favour of the seller to take timber, unless the extent the standing timber is:
 - # trees that are ornamental or incidental
 - # trees in a crop subject to a forestry right registered under the Land Transfer Act, or
 - # trees subject to a profit à prendre granted before 1 January 1984.

In addition, the inclusion of an interest in trading stock within trading stock under s [GC 1\(4\)](#) does not apply if the disposal is of land with standing timber, subject to a right to take timber (s [GC 2\(3\)](#)).

It should be noted that the definition of “trading stock” is expanded for ss [CG 6](#), [FB 13](#), [FC 1](#) and [GC 1–GC 3](#) to include:

- # anything produced or manufactured
- # anything acquired for the purposes of manufacture or disposal
- # livestock
- # timber or a right to take timber
- # land whose disposal would produce income under any of ss [CB 6A–CB 15](#), and
- # anything for which expenditure is incurred and that, if possession of that thing were taken, would be trading stock.

The expanded definition of “trading stock” in s [YA 1](#) specifically excludes financial arrangements to which the financial arrangements rules or the old financial arrangements rules apply.

Exclusion

The deemed market value rule does not apply to the following disposals (s [GC 1\(5\)](#)):

- # A transfer of trading stock made to a person under a relationship agreement. In such a case, the price is determined under s [FB 13](#).
- # A transfer of trading stock to a non-associated person for use by that person in a farming, agricultural, or fishing business affected by a self-assessed adverse event.
- # From 1 April 2024, a disposal of trading stock to a donee organisation.

From 1 April 2024, a disposal of trading stock to which s [GC 20\(2\)](#) or [GC 21\(7\)](#) applies. These are provisions under the purchase price allocation rules ([¶133-200](#)).

Trading stock taken for own use or consumption

QWBA [QB 14/01](#), “Income tax — adjustments for trading stock (including raw materials) taken for own use or consumption”, considers the situation where trading stock is taken by a sole trader or a partner in a partnership for their own use or consumption. The item confirms that taking trading stock for own use or consumption is a disposal for s [GC 1](#) and that the mutuality principle (that a man cannot make a profit by trading with himself) does not apply to override the clear words of the legislation that require an adjustment at market value.

Law: IT07 ss [FB 13](#), [FC 1](#), [GC 1](#), [GC 2](#), [GC 20](#), [GC 21](#), [YA 1](#) (“trading stock”)

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